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ORIGINAL ARTICLES September 27, 2021 • No comments

Global Warming Is An Economic Crisis

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Unlike the past, the weather would never be the same. Forest fires in California and British Columbia. First fall of snow in Egypt. Heat warnings during the dreadful summer term. All, clear indications of weather rapidly changing with the actions of human population and human creation.

The explanation of these bizarre climate patterns can only be explained by global warming.

The Spark To Climate Change

Throughout history, as people look for ways to sustain their life and grow the economy, the level of “heat-trapping greenhouse gases increases in the Earth’s atmosphere (1).” Humans rely on fossil fuels to generate energy within their homes to burn a light bulb or their homes with heat. At the same time, the time of innovation rapidly sparked the creation of the manufacturing industry. As factories started to bloom to build cars and tools, it led to huge emission of nitrogen oxide, carbon monoxide and other pollutants (6).

Even though the manufacturing industry heavily decreased in Canada, global warming has the opposite effect. In fact, the average global average temperature has increased by 1 degree Celsius (1). Although it may seem like a small number, with all the natural disasters and the holes in the ozone, climate change is and will continue to have a negative impact on us and most importantly, the economy.

A Battle Between A Warm Planet And Cold Industries

When we think about economy and climate change, we tend to consider them as opposite spectrums. One considers the capitalist society and the urge to grow the economy while the other considers the socialism aspect of the society and the urge to heal the earth. What people fail to realize is that they are interconnected. Politicians and entrepreneurs may not even notice that the only way the economy is going to thrive is through considering more than monetary value. It’s to consider the earth and the globe that we live on.

According to the New York Times, if we were to continue to ignore the climate crisis, the global economic output would decrease by 11-14% in 2050, leading to a \$23 trillion loss (2). Most economies in the Western

countries would be hit with a 10% loss in GDP as well. We do not realize this now due to the slow frequency of heat waves or rising sea levels. However, with the increase of heat, there would be an increase in droughts, decreasing the agriculture sector. With dry land, farmers would have difficulty living a sustained lifestyle as crops fail to harvest especially in third-world countries. From our perspective, there would be no reason to work endless hours only to have a limited amount of food supply at our local grocery stores (8). Furthermore, with an annual sea level rising of 0.13 inches, countries would soon flood with over 200 million people living underwater in 2100. Economic development would be slow with the low supply of land to home an increasing population and to increase productivity through building businesses. Asian countries like Vietnam, Indonesia and India hold the majority of the population and would be affected with the neverending floods (5). These countries would continue to suffer from the aftermath of first-world countries as they do not have the investments or funds to adjust their infrastructure and economic sectors to survive the climate changes. In comparison to Canada's 10% drop in GDP, China can lose 24% if no measures were taken into consideration (8).

(3)

Think Environmentally

Governments and businesses can avoid these impacts, especially a bear in the economy if they were to make sustainable decisions and meet the criterias of the Paris Agreement – an agreement that builds a framework to reduce temperature increases and lower greenhouse gas emissions (9).

Swiss Re, an insurance company, provides great insight about the decisions public and private sectors need to make for this change. The

main aspect of improvement is realizing that climate change is real and is present. Climate change has gone to the point where US insurance companies are losing more than \$1 billion for the past 40 years of natural disasters like fire or flooding (2). It is to the point where people cannot afford high insurance bills and to fear about their safety in their own home.

The public and private sector needs to monitor their business processes and invest into sustainable infrastructure to reach net-zero. Not only that, different industries need to highlight in their financial statements the impact their services like mining or manufacturing has on the planet. By disclosing this information, businesses would be motivated to monitor their carbon rates and governments would understand the policies they need to administrate to further improve the situation (8). Finally, the government needs to provide more grants and investment opportunities to clean technology. Clean technologies help combat these issues with their creation in energy storage, hydrogen cells, industrial bioproducts and renewable energy. Of recent, the Canadian 2017 Federal Budget allocated over \$2.3 billion to increase clean technology research and development (4). By incorporating these technologies, we would be able to maintain a healthy economy and most importantly, a healthy earth.

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